

OCAD · ONE COMPANY A DAY

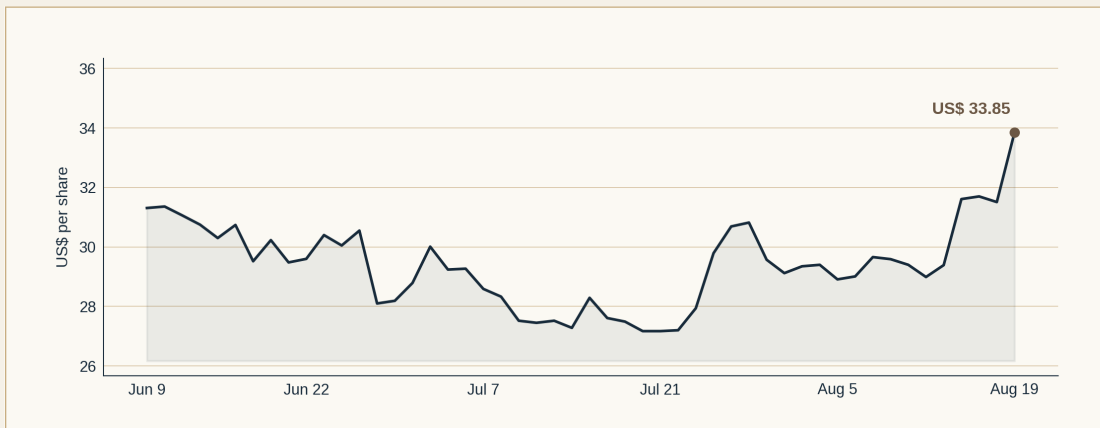
INDUSTRIAL SERIES

Copart, Inc.

NASDAQ: CPRT · United States

US\$ 33.85

Close, 19 August 2026 · +US\$ 2.34 (+7.43%) on the day



Share price, 9 June 2026 to 19 August 2026 (daily close, NASDAQ: CPRT). Source: StockAnalysis.com, market data licensed from S&P Global Market Intelligence.

REPORT DATE
20 August 2026

ANALYST
Arthur Faugeron

EXCHANGE
NASDAQ

SERIES
Industrial

Executive Summary

Copart, Inc. operates online auction marketplaces that connect sellers of damaged, total-loss and whole-car vehicles, principally insurance companies, with a global base of licensed dismantlers, rebuilders, exporters and the public. The company is the largest of two dominant players in the North American salvage-vehicle auction market and has compounded revenue and free cash flow at double-digit rates for most of the past decade from an essentially debt-free balance sheet. The report is published at a moment of heightened company-specific activity: a July 2026 chief executive transition, an escalating debate among sell-side analysts over fee-rate competition, and press reports that Copart is one of several parties, including private-equity firms, discussing an acquisition of CCC Intelligent Solutions Holdings.

Business

Copart sells vehicles through its patented VB3 virtual bidding platform on behalf of insurance carriers, dealers, fleet and rental operators, banks and charities, earning a fee on the large majority of vehicles it processes rather than taking ownership of them. Its primary revenue engine is the United States insurance total-loss (salvage) auction business, supplemented by a smaller international salvage operation across ten additional countries and ancillary services such as towing, title processing and vehicle recycling.

The United States generated roughly 85% of fiscal 2025 revenue, with the balance from the United Kingdom, Germany, Brazil, Canada, the United Arab Emirates, Spain, Finland, the Republic of Ireland, Oman and Bahrain. The customer base is concentrated among large national and regional property-casualty insurers on the selling side and a fragmented, global base of professional buyers on the purchasing side.

Financial Condition

Fiscal 2025 (year ended 31 July 2025) revenue was US\$ 4,647 million, up 9.7% year over year, with an operating margin of 37.7% and a net margin of 33.4%. Growth decelerated sharply to approximately 1.0% on a trailing-twelve-month basis through April 2026 as United States insurance-obtained vehicle volumes softened even as average selling prices and total-loss frequency continued to rise. Trailing operating cash flow was US\$ 1,800 million (fiscal 2025) and trailing free cash flow reached US\$ 1,339 million, a 28.9% margin. The balance sheet held US\$ 4.1 billion of net cash against approximately US\$ 93 million of total debt as of the trailing twelve months ended April 2026, after US\$ 1.6 billion of share repurchases in the preceding nine months.

Market Position

Copart and IAA (acquired by RB Global in 2023) together account for an estimated 70% to 80% of the North American salvage-vehicle auction market, with no other single competitor holding more than approximately 10%, according to third-party industry research. OPENLANE, Inc. and the privately held Manheim (Cox Automotive) compete in the adjacent wholesale used-vehicle and whole-car marketplace rather than head-on in salvage. Copart's principal competitive advantage is its owned real-estate footprint of more than 200 storage and processing yards, a scarce and slow-to-replicate asset base; its principal weakness, as increasingly highlighted by sell-side analysts, is that competitive intensity with RB Global appears to be reaching the fee schedule itself rather than remaining confined to volume competition for individual seller contracts.

Valuation

At the 19 August 2026 close of US\$ 33.85, Copart's market capitalization is approximately US\$ 31.3 billion and enterprise value approximately US\$ 27.2 billion. This is equivalent to roughly 21.0x trailing earnings, 20.7x forward earnings, 13.8x EV/EBITDA and 23.4x price to free cash flow, each meaningfully below the company's own five-year average multiples (five-year average P/E of approximately 33x and EV/EBITDA of approximately 24x, calculated from fiscal year-end data).

Investment Framework

WHAT IS ATTRACTIVE

A net-cash balance sheet, return on invested capital consistently near 30%, a structural tailwind from rising total-loss frequency driven by vehicle complexity, an equity multiple compressed to the low end of its own five-year range, and an accelerated buyback executed into share-price weakness.

WHAT IS CONCERNING

Revenue growth has decelerated from double digits to roughly 1% on a trailing basis; two sell-side analysts have moved to Underweight or Neutral citing fee-rate competition; the chief executive change introduces execution and continuity questions; and the CCC Intelligent Solutions situation is unresolved and could result in a large, unbudgeted capital commitment.

WHAT MUST GO RIGHT

United States insurance-obtained volumes need to stabilize or reaccelerate, the fee schedule needs to hold against RB Global/IAA, and the leadership transition to Jay Adair and Jane Pocock needs to proceed without disruption to seller relationships.

WHAT COULD BREAK THE THESIS

Sustained fee-rate erosion versus RB Global/IAA, a value-destructive or significantly overpriced acquisition of CCC Intelligent Solutions, or a prolonged period of weak insurance-claims volume that is not offset by pricing.

WHAT APPEARS PRICED IN

The current multiple, near the bottom of the historical range, suggests the market has already discounted much of the growth deceleration and competitive-pressure narrative while continuing to assume the Copart/IAA duopoly structure and a broadly intact margin base persist.

Investment Profile

BUSINESS QUALITY

High

FINANCIAL QUALITY

High

COMPETITIVE POSITION

Strong, under pressure

GROWTH PROFILE

Decelerating

BALANCE-SHEET RISK

Low

VALUATION

Below own history

MARKET / TECHNICAL PROFILE

High volatility, large drawdown, sharp rebound

A. About the Business

A1. Business Environment

Copart operates within the vehicle-remarketing industry, a sub-segment of the broader used-vehicle and automotive-claims value chain. The relevant chain runs from a loss event (an accident, weather event, theft or mechanical failure), through an insurance carrier's claims-adjustment process that determines whether a vehicle is economically repairable or a total loss, to the transfer of title to the insurer (or another seller) and, finally, to remarketing through an auction platform to a buyer such as a licensed dismantler, rebuilder, exporter or member of the public.

Revenue in the industry is earned principally through per-vehicle seller and buyer fees, together with ancillary charges for towing, storage, title processing and vehicle condition reporting. Cost is concentrated in owned or leased real estate for vehicle storage and processing, yard labor, transportation and, increasingly, information technology. The business is capital intensive on the real-estate side but fee-based and comparatively asset-light on the revenue side for the majority of transaction volume, since Copart holds title to only a minority of the vehicles it sells.

Demand is cyclical, driven by miles driven, weather and catastrophic events (hailstorms, hurricanes and floods generate volume surges), used-vehicle values, and insurance-claims frequency and severity. The industry is subject to state-level salvage-title and dealer-licensing regulation in the United States and analogous regimes internationally, together with environmental permitting for vehicle-fluid handling and, increasingly, electric-vehicle battery storage. Online bidding technology now accounts for more than 70% of auction transaction volume industry-wide, according to third-party market research (Sourced: Grand View Research, Online Salvage Auctions Market Report). The North American salvage segment is concentrated among two large operators, Copart and RB Global's IAA, while the broader wholesale used-vehicle auction market includes additional large players such as the privately held Manheim.

Reasoned classification: the core North American salvage-auction market is mature and consolidated around two operators, but the industry carries a structural volume tailwind from rising total-loss frequency, itself a function of increasing vehicle complexity (advanced driver-assistance systems and electric-vehicle components raise the cost of repairing even moderate collision damage). International salvage operations and adjacent categories such as whole-car, heavy-equipment and powersport auctions remain comparatively early in their development and provide incremental growth vectors layered on top of a mature core.

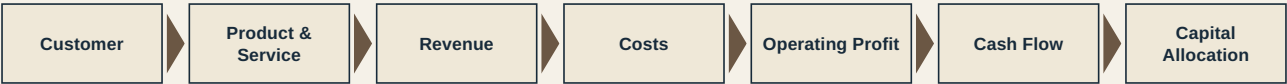
A2. What Does the Company Do?

Copart's core service is the sale of vehicles through its VB3 virtual bidding auction platform on behalf of sellers who do not want to manage vehicle disposition themselves. Reported revenue is disclosed across four lines: United States service revenue (auction and ancillary fees earned on vehicles Copart does not own, the largest and highest-margin stream at US\$ 3,452 million in fiscal 2025, approximately 74% of revenue), International service revenue (US\$ 517 million, approximately 11%), United States vehicle revenue (US\$ 404 million, approximately 9%, earned on the smaller share of vehicles for which Copart takes title, typically under specific seller programs or catastrophe-related purchase arrangements) and International vehicle revenue (US\$ 275 million, approximately 6%).

Sellers are principally insurance carriers, together with vehicle dealers, fleet and rental operators, finance companies and charities. Buyers are licensed dismantlers, rebuilders, used-vehicle dealers and exporters, together with members of the public through the Buy It Now feature. Ancillary businesses include Copart Recycling (parts sales from end-of-life vehicles), Purple Wave (no-reserve online auctions of construction, agricultural and fleet equipment), National Powersport Auctions, and direct-to-consumer vehicle-purchase brands operating under the CashForCars name in several countries.

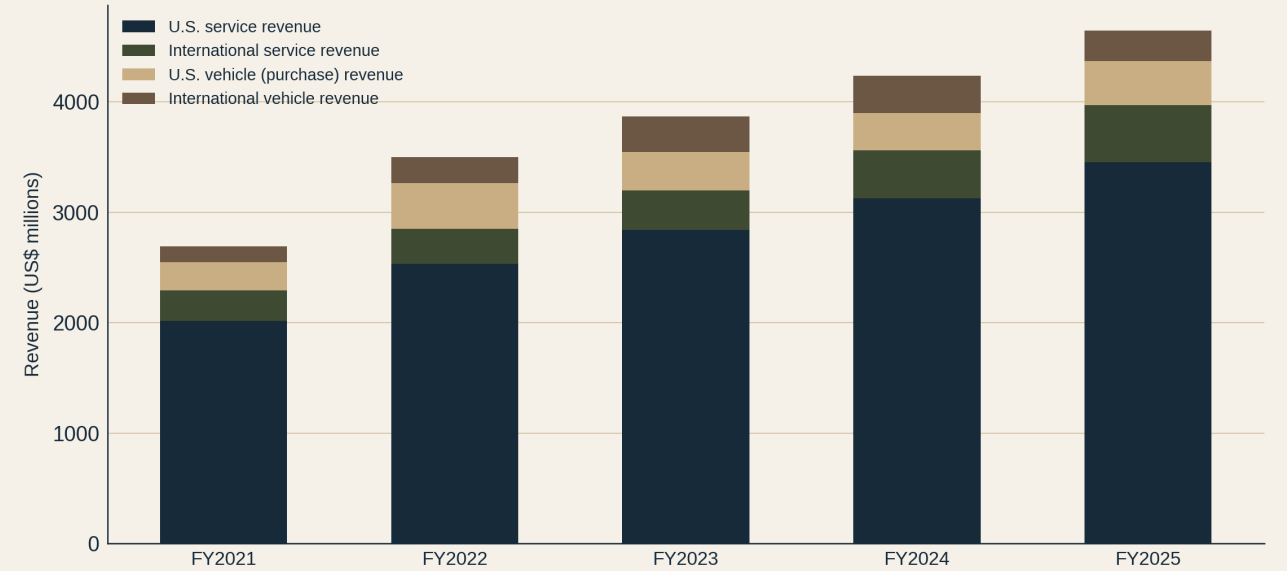
The dollar flow through the business runs from the seller relationship (typically a multi-year contract with a national or regional insurer) through the auction and ancillary-service fee (the primary revenue driver) to a cost base weighted toward yard real estate, labor and transportation, leaving an operating margin that has historically ranged from the high 30s to low 40s percent of revenue, and from there to free cash flow that funds land purchases, technology investment, share repurchases and, potentially, acquisitions.

Exhibit A2.1. How a dollar moves through Copart



Customer: insurer, dealer, fleet operator or buyer. Product and service: VB3 auction, towing, title processing, parts. Revenue: seller and buyer fees plus vehicle sales. Costs: yard real estate, labor, transportation. Operating profit: 37.7% margin, FY2025. Cash flow: US\$ 1,231 million free cash flow, FY2025. Capital allocation: land, technology, share repurchases. Reasoned schematic constructed by the analyst from Copart, Inc. fiscal 2025 Form 10-K segment disclosure and reported financial statements.

Exhibit A2.2. Revenue by stream, fiscal 2021 to fiscal 2025



United States and international service and vehicle revenue, US\$ millions, fiscal years ended 31 July. Source: StockAnalysis.com KPI data (Fiscal.ai), derived from Copart, Inc. Form 10-K filings.

A3. Business and Relationship Network

Copart, Inc.

- Suppliers and infrastructure: owned and leased vehicle storage yards (more than 200 locations), transportation and towing subcontractors, cloud and imaging technology vendors
- Sellers (revenue source): national and regional property-casualty insurance carriers (the dominant seller category), vehicle dealers, fleet and rental operators, finance companies, charities
- Buyers (revenue source): licensed dismantlers and rebuilders, used-vehicle dealers, exporters, and the public via Buy It Now
- Proprietary technology and brands: VB3 virtual bidding platform, Copart 360 vehicle imaging, IntelliSeller data tool, CashForCars.com and regional equivalents
- Subsidiaries: Purple Wave, Inc. (construction, agricultural and fleet auctions), National Powersport Auctions
- Board and leadership: Willis J. Johnson (founder), A. Jayson Adair (Executive Chairman and Chief Executive Officer), Jane Pocock (President), Leah C. Stearns (Chief Financial Officer)

Pending strategic relationship: CCC Intelligent Solutions Holdings Inc. (NASDAQ: CCC), an insurance-claims and estimating software provider reported to be an acquisition target under consideration by Copart as of August 2026

Competitors: RB Global, Inc. (Ritchie Bros. and IAA), OPENLANE, Inc., Manheim (Cox Automotive, private)
Ownership percentages held by founder, executive and institutional shareholders were not independently retrieved to the standard required for this report and are omitted rather than estimated.

A4. Competition

Copart's most economically relevant competitors are the operators that compete for the same insurer seller contracts, the same professional buyer base, or the same capital. RB Global's IAA division is the only competitor of comparable scale in North American salvage auctions. OPENLANE and Manheim compete principally in the wholesale, non-salvage used-vehicle and whole-car market, overlapping with Copart mainly in buyer base and digital-auction technology rather than in the core insurance total-loss channel. Independent regional salvage yards and dismantlers, together with limited direct-to-consumer or insurer self-managed disposition, represent smaller substitute channels.

EXHIBIT A4.1. COMPETITIVE COMPARISON

Company	What it sells	Primary customer	Geography	TTM revenue	Advantage	Disadvantage
Copart (CPRT)	Salvage and whole-car online auctions, ancillary services	Insurers (sell side), dismantlers/exporters (buy side)	US-centric, 11 countries	US\$ 4.64bn	Owned real-estate footprint; two-sided network effects; net-cash balance sheet	Fee-rate competition now cited by analysts; US insurance-volume dependence
RB Global (RBA / IAA)	Salvage auctions (IAA) plus heavy-equipment and commercial-asset auctions (Ritchie Bros.)	Insurers and commercial-equipment owners	North America, global equipment	US\$ 4.85bn	Diversified beyond salvage; scale comparable to Copart in North American salvage	Meaningfully higher leverage (net debt/EBITDA approximately 3.1x); lower capital returns (ROIC approximately 6.5%)
OPENLANE (OPLN)	Digital wholesale marketplace for dealer- and manufacturer-sourced used vehicles	Dealers, manufacturers, finance companies	US, Canada, Europe	US\$ 2.08bn	Asset-light digital model; improving profitability	Smaller scale; different end market (non-salvage); still GAAP loss-making on a trailing basis
Manheim (Cox Automotive, private)	Physical and digital wholesale vehicle auctions	Dealers primarily, some insurer salvage volume	United States, global	Not disclosed (private)	Largest overall vehicle-auction volume in the United States	Not primarily a salvage specialist; privately held, no public capital-markets discipline

Sourced: StockAnalysis.com company and financial pages for CPRT, RBA and OPLN (trailing twelve-month revenue as reported, accessed 19 to 20 August 2026); Manheim scale from Cox Automotive public disclosures, Sourced qualitatively as the company does not separately report financials.

A5. Competitive Differences

Copart's advantages are largely structural. Its network of more than 200 owned or leased storage and processing yards represents a scarce, capital-intensive and slow-to-permit asset base that is difficult for a new entrant to replicate at national scale. The business exhibits genuine two-sided network effects: a larger base of consigned vehicles attracts a larger and more competitive base of buyers, which in turn improves realized prices for sellers and reinforces Copart's position with insurers. Large national insurers face real, if not insurmountable, switching costs given multi-year operational integration with Copart's claims and title-processing workflow across all fifty states. The result, together with IAA, is a durable duopoly structure in the core North American salvage market.

The principal disadvantage, and the one most emphasized by bearish sell-side analysts in 2026, is that this duopoly is not immune to fee-based competition. Both Barclays and JPMorgan have cited evidence that competitive intensity between Copart and IAA is beginning to affect the fee rate charged per vehicle, historically the primary lever behind Copart's margin expansion, rather than remaining confined to volume competition for individual contract renewals. Additional disadvantages include meaningful customer concentration among large national insurers and direct exposure to the cyclicity of insurance-claims volume, which softened over the twelve months to April 2026 even as total-loss frequency rose.

Reasoned assessment: Copart's moat rests on structural, largely permanent advantages (real estate, network effects, switching costs) rather than temporary ones (technology lead, pricing). The 2026 fee-rate concern is a genuine and monitorable risk to the rate of margin expansion, but it does not by itself undermine the duopoly structure. The moat is assessed as **Strong**, one notch below Very Strong, reflecting the emerging fee-competition risk.

A6. Industry Trend

Total-loss frequency, the share of insured collision claims resulting in a vehicle being declared a total loss rather than repaired, reached approximately 23.6% in the first calendar quarter of 2026, up from approximately 19% four years earlier (Sourced: Copart fiscal third-quarter 2026 earnings commentary, as reported by BigGo Finance and other outlets covering the 21 May 2026 earnings call). The increase is attributed to rising vehicle repair costs driven by advanced driver-assistance-system sensor recalibration and electric-vehicle-specific repair complexity, which push a larger share of moderately damaged vehicles past the economic threshold for repair. This is a structural, multi-year tailwind for the addressable pool of salvage vehicles.

Set against this, insurance-claims volume itself has been cyclically soft: Copart reported a 9.5% year-over-year decline in United States insurance-obtained vehicle volumes in fiscal first-quarter 2026, reflecting reduced comprehensive-coverage claims frequency and consumer pullback on auto-insurance purchasing during a period of high premium inflation. United States insurance average selling prices, by contrast, reached a seasonally adjusted record in the same period, evidence of a tight, well-supplied buyer market for vehicle parts and used vehicles even as unit volumes softened.

The global online salvage-auction market was estimated at approximately US\$ 10.6 billion in 2024, with third-party forecasts projecting growth to the high-teens percentage CAGR range through 2030 (Sourced: GrowthMarketReports and Grand View Research industry estimates; such third-party market-sizing estimates vary meaningfully by provider and should be treated as directional rather than precise). **Reasoned classification:** the industry is best described as mature and consolidated in its core North American salvage channel, with a structural volume tailwind from rising total-loss frequency and continued international and adjacent-category growth (whole-car, heavy equipment, powersport) layered on top. The trend could reverse if vehicle-repair costs fall relative to vehicle values (for example through simplified EV repair standards) or if insurance-claims frequency structurally declines further through advanced driver-assistance-system-driven accident avoidance.

A7. Management

Copart underwent a chief executive transition in the months immediately preceding this report. Jeff Liaw, who joined Copart in 2016 as Chief Financial Officer, was named President in 2019, Chief Executive Officer, North America in February 2021 and Co-Chief Executive Officer in March 2022, stepped down as Chief Executive Officer and director effective 31 July 2026 and remains as Special Advisor to support the transition. Prior to Copart, Mr. Liaw was Chief Financial Officer of FleetPride, Inc. and a principal at TPG Capital Management; he holds a B.A. and B.B.A. from the University of Texas and an M.B.A. from Harvard Business School.

A. Jayson Adair, who previously served as Copart's Chief Executive Officer from February 2010 to February 2022 and subsequently as Executive Chairman, resumed the Chief Executive Officer role effective 31 July 2026 while retaining the Executive Chairman title. Willis J. Johnson, who founded Copart in 1982 in Vallejo, California, continues to be identified as founder and Chairman. Jane Pocock was promoted to President effective 1 August 2026; she joined Copart in January 2019 as Managing Director of Copart UK, having previously served as Chief Executive of Vans Direct, and led one of the company's largest international businesses through a period of sustained growth. Leah C. Stearns has served as Senior Vice President and Chief Financial Officer since December 2022, having previously been Chief Financial Officer of CBRE Group and held multiple finance leadership roles, including divisional chief financial officer and divisional chief executive positions, at American Tower Corporation.

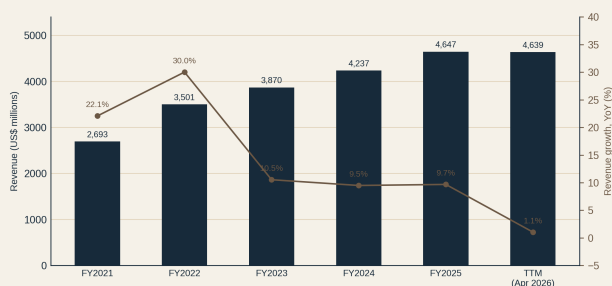
On capital allocation, management has historically reinvested heavily in owned real estate (fiscal 2025 capital expenditure of US\$ 569 million, approximately 12% of revenue) while carrying negligible debt. The company does not pay a dividend but sharply increased share repurchases to approximately US\$ 1.6 billion in the nine months to April 2026, coinciding with the stock's decline from its 52-week high, a pattern consistent with opportunistic, price-sensitive buyback execution. The board added a new independent director, David J. Berger, effective 13 August 2026. **Reasoned assessment:** capital allocation has generally aligned with shareholder interests (debt discipline, reinvestment in the core moat, opportunistic buybacks), though the return of a previously retired chief executive after less than five years under his successor, combined with an unresolved, large potential acquisition, raises near-term governance and continuity questions that this report treats as a monitorable risk rather than a settled negative.

B. Evaluation

B1. Financial and Operating Metrics

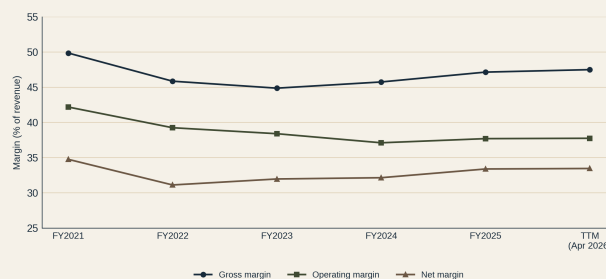
Copart's profitability metrics rank among the strongest of any mid- or large-capitalization industrial services business. Gross margin has ranged from approximately 45% to 50% over the past five fiscal years, operating margin from approximately 37% to 42%, and net margin from approximately 31% to 35%. Return on invested capital has been remarkably stable in the 30% to 35% range, while return on equity has declined mechanically from approximately 31% in fiscal 2021 to approximately 18% currently, not because operating returns deteriorated but because retained earnings and an undistributed net-cash balance have expanded the equity base faster than earnings (a denominator effect rather than a decline in operating quality).

Exhibit B1.1. Revenue and revenue growth



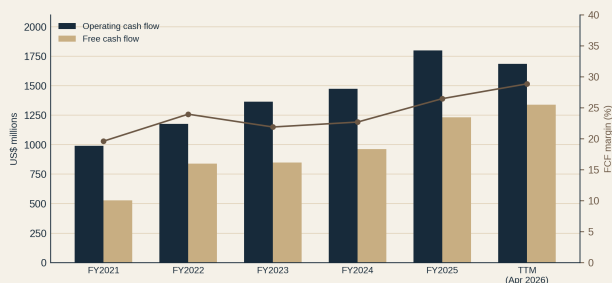
US\$ millions and % YoY, fiscal years ended 31 July; TTM through 30 April 2026. Source: StockAnalysis.com, Copart, Inc. Form 10-K/10-Q filings.

Exhibit B1.2. Margin trend



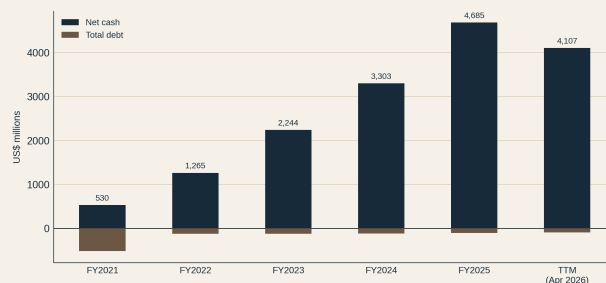
Gross, operating and net margin, % of revenue. Source: StockAnalysis.com, calculated from reported figures.

Exhibit B1.3. Cash flow generation

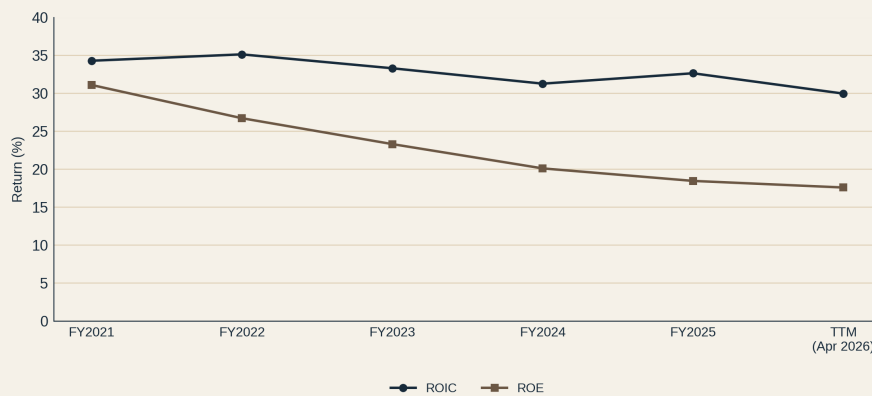


Operating and free cash flow, US\$ millions, with FCF margin (%). Source: StockAnalysis.com.

Exhibit B1.4. Net cash position



Net cash and total debt, US\$ millions. Source: StockAnalysis.com balance sheet data.

Exhibit B1.5. Capital efficiency

Return on invested capital and return on equity, %. Calculated by the analyst from reported operating income, tax, invested capital and shareholders' equity, as compiled by StockAnalysis.com.

EXHIBIT B1.6. KEY OPERATING AND FINANCIAL METRICS

Metric	FY2021	FY2022	FY2023	FY2024	FY2025	TTM (Apr 2026)
Revenue growth, YoY	22.1%	30.0%	10.5%	9.5%	9.7%	1.1%
Gross margin	49.9%	45.9%	44.9%	45.8%	47.2%	47.5%
Operating margin	42.2%	39.3%	38.4%	37.1%	37.7%	37.8%
Net margin	34.8%	31.1%	32.0%	32.2%	33.4%	33.5%
ROIC	34.3%	35.2%	33.3%	31.3%	32.7%	30.0%
ROE	31.1%	26.7%	23.3%	20.1%	18.5%	17.6%
FCF margin	19.6%	24.0%	21.9%	22.7%	26.5%	28.9%
Net debt / EBITDA	(0.4x)	(0.8x)	(1.4x)	(1.9x)	(2.4x)	(2.1x)

Calculated by the analyst from data compiled by StockAnalysis.com (source: S&P Global Market Intelligence), derived from Copart, Inc. Form 10-K and Form 10-Q filings. Net debt/EBITDA shown in parentheses denotes a net cash position.

B2. Risks**EXHIBIT B2.1. STRUCTURED RISK ASSESSMENT**

Category	Risk	Probability	Impact
Competitive	Fee-rate erosion versus RB Global/IAA as competition moves beyond volume into pricing	Medium to High	High
Business	Customer concentration among large national insurers; loss or renegotiation of a major account	Low to Medium	High
Governance / execution	Chief executive transition risk following the return of a previously retired CEO	Medium	Medium
Financial / capital allocation	An overpriced or integration-challenged acquisition of CCC Intelligent Solutions, if consummated	Low to Medium	High

Category	Risk	Probability	Impact
Macro / cyclical	Continued softness in United States insurance-claims volume, tied to miles driven and comprehensive-coverage take-up	Medium	Medium
Technological	Electric-vehicle battery storage, handling and disposal costs and evolving safety regulation	Medium	Low to Medium
Regulatory	State-level salvage-title, environmental and licensing regulation, particularly for EV handling	Low	Low to Medium
Valuation	Multiple compression persisting even if operating performance stabilizes	Medium	Medium
Legal / reputational	Pending gender-discrimination litigation (filed April 2025) alleging pay and promotion disparities	Low	Low

Probability and impact are Reasoned assessments by the analyst based on the evidence set out in this report; they are not statistical estimates.

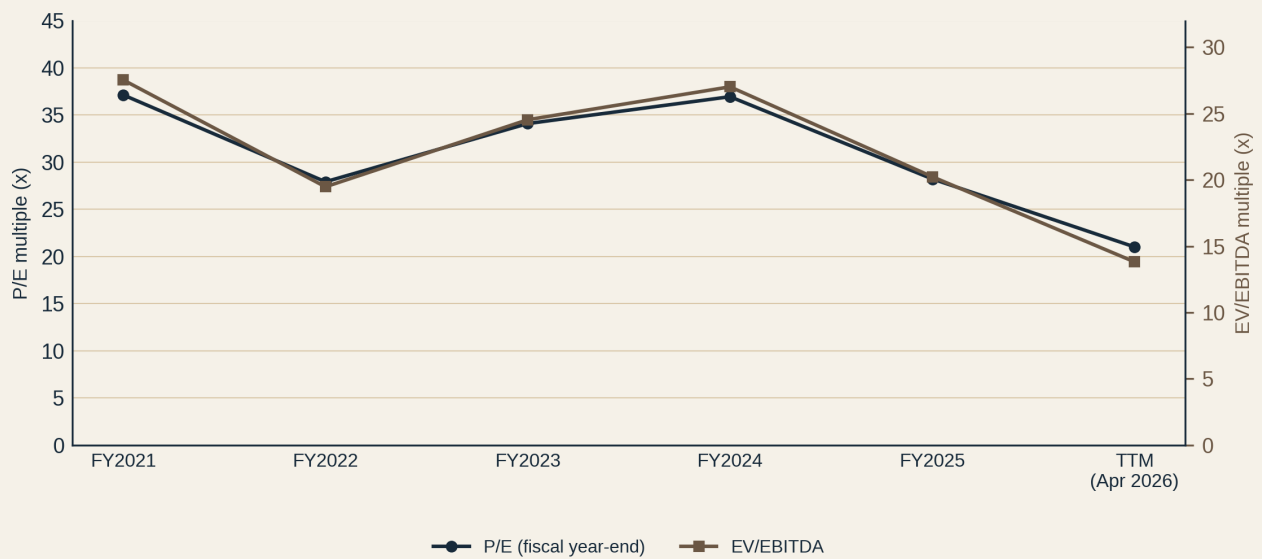
The three risks judged most capable of permanently impairing shareholder value are, in order: sustained fee-rate erosion against RB Global/IAA that structurally compresses the operating margin below its historical 37% to 42% range; a large, overpriced or poorly integrated acquisition of CCC Intelligent Solutions that diverts capital from the core moat-reinforcing real-estate strategy; and a multi-year decline in United States insurance-claims volume that is not offset by average-selling-price gains.

B3. Valuation

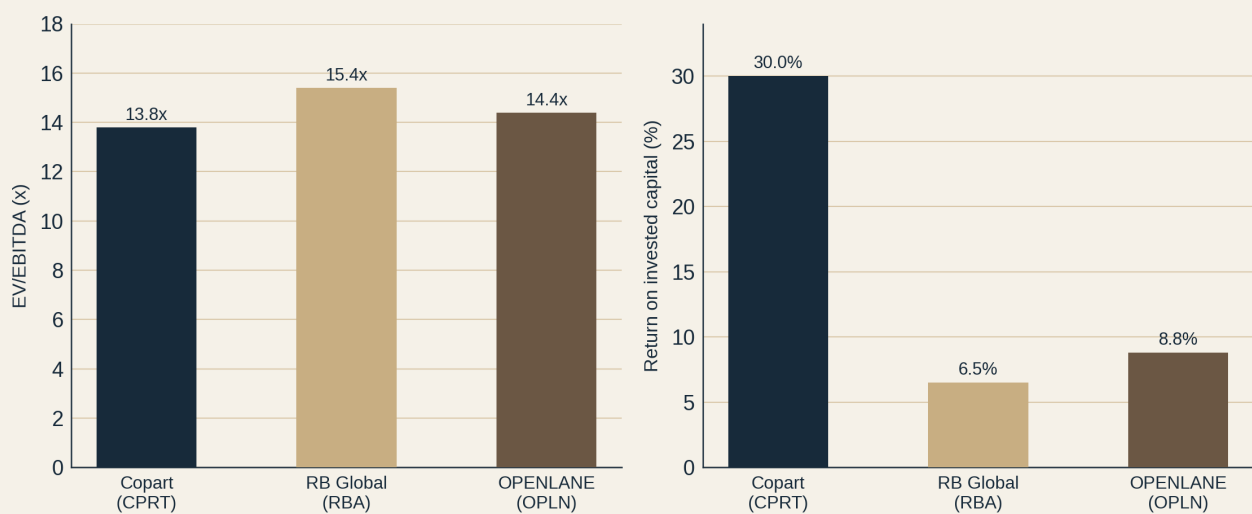
EXHIBIT B3.1. VALUATION MULTIPLES, CURRENT AND HISTORICAL (FISCAL YEAR-END)

Metric	FY2021	FY2022	FY2023	FY2024	FY2025	Current
Share price, fiscal year-end	US\$ 36.75	US\$ 32.02	US\$ 44.20	US\$ 52.33	US\$ 45.33	US\$ 33.85
P/E	37.1x	27.9x	34.1x	37.0x	28.2x	21.0x
EV/EBITDA	27.5x	19.5x	24.5x	27.0x	20.2x	13.8x
EV/Sales	12.8x	8.4x	10.4x	11.2x	8.5x	5.9x
P/FCF	65.9x	36.3x	49.8x	52.4x	35.6x	23.4x

Sourced: StockAnalysis.com (S&P Global Market Intelligence), fiscal year-end multiples for fiscal years ended 31 July; current column as of the 19 August 2026 close of US\$ 33.85 and trailing-twelve-month financials through 30 April 2026.

Exhibit B3.2. Valuation multiple history

P/E and EV/EBITDA at each fiscal year-end and at the current price. Source: StockAnalysis.com.

Exhibit B3.3. Peer comparison, EV/EBITDA and ROIC

Current EV/EBITDA (x) and trailing return on invested capital (%). Source: StockAnalysis.com, as of 19 to 20 August 2026.

Peer valuation**EXHIBIT B3.4. PEER VALUATION SUMMARY, CURRENT**

Metric	Copart (CPRT)	RB Global (RBA)	OPENLANE (OPLN)
Market capitalization	US\$ 31.3bn	US\$ 16.0bn	US\$ 4.1bn
Enterprise value	US\$ 27.2bn	US\$ 20.1bn	US\$ 6.4bn
EV / Sales	5.9x	4.2x	3.1x
EV / EBITDA	13.8x	15.4x	14.4x
Forward P/E	20.7x	18.5x	21.4x

Metric	Copart (CPRT)	RB Global (RBA)	OPENLANE (OPLN)
Net debt / EBITDA	(2.1x)	3.2x	5.1x
ROIC	30.0%	6.5%	8.8%

Sourced: StockAnalysis.com financial ratio pages for CPRT, RBA and OPLN, as of 19 to 20 August 2026. Figures in parentheses denote a net cash position.

Copart trades at a modestly lower EV/EBITDA multiple than RB Global and OPENLANE despite an unlevered balance sheet and a return on invested capital roughly three to four times higher than either peer, a combination that on its face appears anomalous. The gap is best explained by the market pricing in the fee-competition and growth-deceleration concerns discussed in Section A5 more heavily for Copart specifically, together with RB Global and OPENLANE both screening as earlier in a margin-recovery or deleveraging cycle that analysts are rewarding with relatively higher forward multiples.

What is priced in

At 21.0x trailing earnings and 13.8x EV/EBITDA, Copart trades close to the bottom of its own five-year multiple range (peak approximately 37x P/E and 27.5x EV/EBITDA in fiscal 2021 and fiscal 2024). Reasoned interpretation: the current price appears to require revenue growth re-accelerating from the current trailing 1% toward the high single digits over the medium term, operating margin holding broadly within its historical 37% to 40% band despite fee-competition pressure, and continued aggressive share repurchases, an outcome this report characterizes as **Reasonable to moderately Optimistic** rather than conservative, given the magnitude of the recent volume deceleration and the unresolved competitive-pressure debate among sell-side analysts.

B4. Capital Market and Stock Analysis

EXHIBIT B4.1. PRICE PERFORMANCE, SELECTED PERIODS TO 19 AUGUST 2026

Period	Return	Basis
1 day	+7.4%	Calculated, daily close
1 week	+16.8%	Calculated, 5 trading days
1 month	+24.6%	Calculated, approximately 21 trading days
Trailing 12 months (31 Jul 2025 close to 19 Aug 2026)	(25.3%)	Calculated from fiscal year-end anchor
Trailing 3 years (31 Jul 2023 close to 19 Aug 2026)	(23.4%)	Calculated from fiscal year-end anchor
Trailing 5 years (31 Jul 2021 close to 19 Aug 2026)	(7.9%)	Calculated from fiscal year-end anchor

Calculated by the analyst from closing prices sourced from StockAnalysis.com. Figures in parentheses denote a decline. Fiscal year-end anchors (31 July) are used for multi-year periods because complete daily history beyond the trailing quarter was not obtained; readers should note the resulting periods are approximate to the fiscal year-end date rather than the exact calendar anniversary.

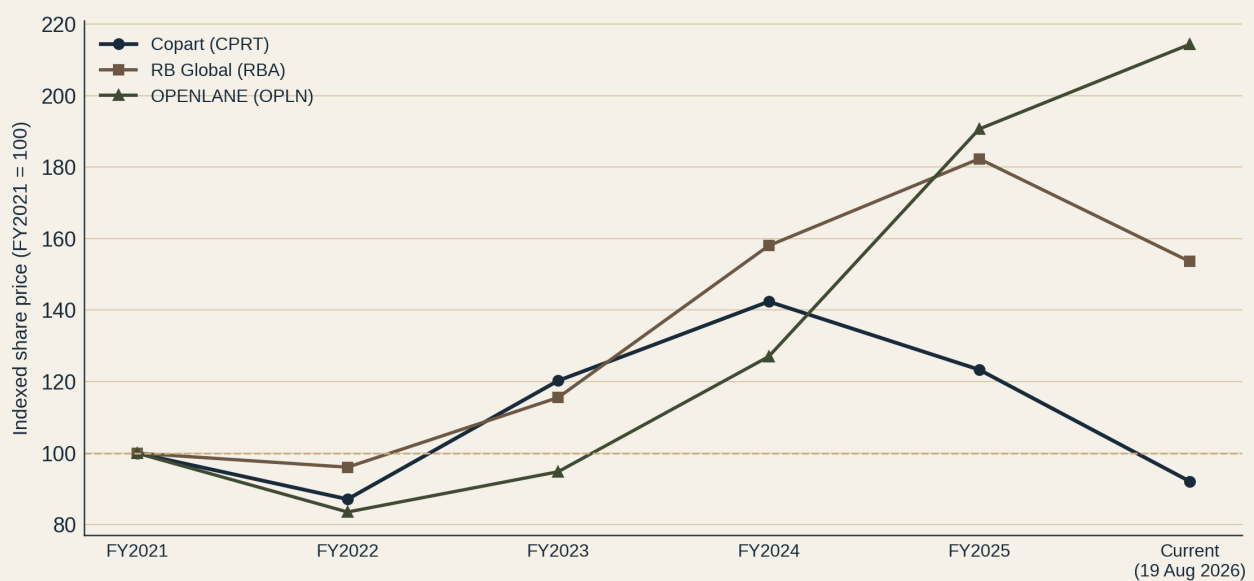
EXHIBIT B4.2. VOLATILITY AND TECHNICAL INDICATORS

Indicator	Value	Basis
Beta (5-year, monthly)	1.01	Sourced, StockAnalysis.com
Annualized volatility (trailing quarter)	~44.6%	Calculated from daily closes, 9 June to 19 August 2026
52-week range	US\$ 26.81 to US\$ 50.11	Sourced, StockAnalysis.com

Indicator	Value	Basis
Drawdown from 52-week high	(32.4%)	Calculated
Peak-to-trough drawdown, 52-week range	(46.5%)	Calculated
Rebound from 52-week low	+26.3%	Calculated
~50-trading-day simple moving average	US\$ 29.42	Calculated from available daily closes
13-period RSI	~82	Calculated, approximation from available daily closes

Calculated by the analyst from daily closing prices sourced from StockAnalysis.com covering 9 June to 19 August 2026 (50 trading days); longer-dated daily history was not obtained and moving-average and RSI figures should be read as close approximations rather than exact 50-day or 14-day textbook values.

Exhibit B4.3. Relative share-price performance versus peers



Indexed fiscal/calendar year-end closing price, FY2021 = 100, through the 19 August 2026 close. Copart's fiscal year ends 31 July; RB Global and OPENLANE report on a calendar year, so year-end dates are not identical across companies. Source: StockAnalysis.com.

Copart's share price fell from a 52-week high of US\$ 50.11 to a low of US\$ 26.81, a peak-to-trough decline of approximately 46.5%, over a period that encompassed the fiscal second-quarter earnings miss and subsequent Barclays and JPMorgan downgrades, the announcement of the CEO transition (which the financial press described as causing the stock to "plunge"), and broader concern over fee-rate competition. The subsequent rebound to US\$ 33.85, including single-day gains of 7.55% on 14 August and 7.43% on 19 August 2026, coincided with the Bloomberg report of Copart's interest in acquiring CCC Intelligent Solutions and the addition of a new independent director. The resulting trailing-quarter annualized volatility of approximately 45% and a 13-period RSI near 82 indicate a technically overbought short-term condition following a sharp reversal; this reflects a rapid change in market sentiment around event-driven news rather than a resumption of the multi-year uptrend evident before the CEO transition, and it should be weighed against, not substituted for, the fundamental valuation and competitive-pressure analysis set out above.

C. Financial Statements

The following analysis covers fiscal years 2021 through 2025 (years ended 31 July) together with the trailing twelve months ended 30 April 2026. All figures are Sourced from StockAnalysis.com, which compiles data from Copart, Inc. Form 10-K and Form 10-Q filings under United States GAAP, and are Reported unless otherwise labeled Calculated, Derived or Estimated.

C1. Income Statement

EXHIBIT C1.1. INCOME STATEMENT SUMMARY (US\$ MILLIONS EXCEPT PER-SHARE DATA)

Line item	FY2021	FY2022	FY2023	FY2024	FY2025	TTM
Revenue	2,693	3,501	3,870	4,237	4,647	4,639
Gross profit	1,343	1,606	1,737	1,939	2,192	2,205
Operating income	1,136	1,375	1,487	1,573	1,753	1,752
Net income	936.5	1,090	1,238	1,363	1,552	1,553
Diluted EPS (US\$)	0.97	1.13	1.28	1.40	1.59	1.61

Reported. Source: StockAnalysis.com income statement, compiled from Copart, Inc. Form 10-K/10-Q filings.

Revenue growth has been driven by a combination of rising average selling prices on vehicles sold (a price and mix effect linked to used-vehicle values and total-loss frequency), continued unit-volume growth in international markets, and, more recently, a deceleration in United States insurance-obtained unit volumes that brought trailing revenue growth down to approximately 1%. Operating leverage has been modestly negative in recent years: operating margin peaked at 42.2% in fiscal 2021 during a period of unusually strong used-vehicle pricing and has settled in the 37% to 38% range for the past three fiscal years as the mix of lower-margin vehicle (purchase) revenue grew and, per management and analyst commentary, competitive fee dynamics began to bite. Net margin has nonetheless held up relatively well, aided by a low effective tax rate and minimal interest expense given the company's net-cash position.

C2. Balance Sheet

EXHIBIT C2.1. BALANCE SHEET SUMMARY (US\$ MILLIONS)

Line item	FY2021	FY2022	FY2023	FY2024	FY2025	TTM
Cash & short-term investments	1,048	1,384	2,364	3,422	4,789	4,200
Total current assets	1,703	2,202	3,263	4,418	5,755	5,217
Property, plant & equipment	2,393	2,576	2,923	3,255	3,659	3,804
Total assets	4,562	5,309	6,738	8,428	10,091	9,649
Total liabilities	1,033	683	750	879	883	858
Total debt	518	119	120	119	104	93
Shareholders' equity	3,529	4,626	5,987	7,549	9,207	8,791

Line item	FY2021	FY2022	FY2023	FY2024	FY2025	TTM
Net cash (debt)	530	1,265	2,244	3,303	4,685	4,107
Current ratio	4.0x	5.0x	6.6x	7.0x	8.4x	7.6x

Reported and Calculated (current ratio, net cash). Source: StockAnalysis.com balance sheet, compiled from Copart, Inc. Form 10-K/10-Q filings.

The balance sheet is exceptionally strong: total debt of approximately US\$ 93 million against a total asset base of nearly US\$ 9.6 billion (trailing twelve months) is negligible, and the current ratio of more than seven times reflects a large, liquid cash and short-term investment balance rather than working-capital inefficiency. Goodwill and intangible assets are modest relative to the balance sheet (approximately US\$ 575 million combined in fiscal 2025, roughly 5.7% of total assets), so the balance sheet is not goodwill-dependent. The principal balance-sheet trend to monitor is the pace of land and yard capital expenditure required to sustain growth, together with the magnitude of any capital commitment toward CCC Intelligent Solutions should that transaction proceed. No material off-balance-sheet obligations, pension liabilities or refinancing requirements were identified from the sources reviewed.

C3. Cash Flow Statement

EXHIBIT C3.1. CASH FLOW SUMMARY (US\$ MILLIONS)

Line item	FY2021	FY2022	FY2023	FY2024	FY2025	TTM
Operating cash flow	991	1,177	1,364	1,473	1,800	1,685
Capital expenditure	(463)	(337)	(517)	(511)	(569)	(346)
Free cash flow	528	839	848	962	1,231	1,339
Share repurchases	(6)	(2)	(5)	(7)	(5)	(1,637)
FCF / Net income	0.56x	0.77x	0.68x	0.71x	0.79x	0.86x

Reported (cash flow lines) and Calculated (FCF/Net income). Source: StockAnalysis.com cash flow statement, compiled from Copart, Inc. Form 10-K/10-Q filings. Parentheses denote cash outflows.

Free cash flow conversion has improved steadily, from 56% of net income in fiscal 2021 to 86% on a trailing basis, as capital expenditure growth has moderated relative to operating cash flow growth. Net income has consistently understated cash generation on a same-period FCF basis only in the sense that heavy capex has historically absorbed a large share of operating cash flow; there is no evidence of aggressive revenue recognition or working-capital manipulation inflating reported earnings relative to cash flow. The standout item in the trailing-twelve-month cash flow statement is share repurchases of approximately US\$ 1.6 billion, a large step-up from the low single-digit-million-dollar annual repurchase levels of fiscal 2021 through fiscal 2025, executed as the share price declined toward its 52-week low.

C4. Forecasting and Projections

The following projections are Estimated by the analyst and are provided to illustrate a range of reasonable outcomes rather than a single forecast. Three scenarios are presented over a five-year explicit horizon (fiscal 2026 through fiscal 2030), starting from fiscal 2025 reported revenue of US\$ 4,647 million.

EXHIBIT C4.1. SCENARIO ASSUMPTIONS (ESTIMATED)

Assumption	Bear case	Base case	Bull case
Revenue CAGR, FY2026 to FY2030	~1.6% (fee pressure and soft volumes persist)	~6.2% (volumes stabilize, moderate reacceleration)	~9.5% (volumes and international scale reaccelerate)
Operating margin, FY2030	33.0% (sustained fee erosion)	36.5% (modest, gradual compression)	40.0% (fee schedule holds, mix improves)
Capital expenditure, % of revenue	11.0%	11.0%	11.0%
Effective tax rate	24%	24%	24%

Estimated by the analyst. Not a company forecast or guidance; Copart does not publish multi-year financial guidance in the sources reviewed for this report.

C5. Discounted Cash Flow Model

The discounted cash flow model applies the scenario assumptions above to unlevered free cash flow to the firm, discounted at a weighted-average cost of capital derived from a risk-free rate of 4.65% (Sourced: 10-year US Treasury yield, 19 August 2026), an equity risk premium of 5.5% and Copart's five-year monthly beta of 1.01, with a de minimis debt weighting given the company's near-zero leverage. Terminal value is calculated using the Gordon growth method.

EXHIBIT C5.1. DCF ASSUMPTIONS AND IMPLIED EQUITY VALUE PER SHARE (ESTIMATED)

Scenario	WACC	Terminal growth	Implied enterprise value	Implied value per share
Bear	10.5%	2.0%	~US\$ 10.3bn	~US\$ 15.50
Base	9.0%	3.0%	~US\$ 19.3bn	~US\$ 25.30
Bull	8.5%	3.5%	~US\$ 28.5bn	~US\$ 35.25

Estimated by the analyst; a five-year explicit forecast of unlevered free cash flow is discounted to present value and added to a Gordon growth terminal value, then adjusted for trailing-twelve-month net cash of US\$ 4,107 million and 925.81 million diluted shares outstanding. This is a valuation range constructed from explicit, disclosed assumptions, not a precise intrinsic-value point estimate, and it should be read alongside the multiples-based analysis in Section B3.

The 19 August 2026 closing price of US\$ 33.85 sits above the base-case DCF output and close to the bull-case output, implying that the market is currently pricing an outcome closer to reaccelerating growth and a largely intact margin structure than to the base case of moderate deceleration and gradual margin compression modeled here. This is broadly consistent with the multiples-based conclusion in Section B3 that current valuation embeds Reasonable to moderately Optimistic assumptions rather than a conservative or already-discounted bear case.

C6. Leveraged Buyout Considerations

A conventional financial-sponsor leveraged buyout is not evaluated as a meaningful scenario for Copart in this report. At an approximately US\$ 31 billion market capitalization with only approximately US\$ 93 million of existing debt, a control transaction of this scale would require an unusually large quantum of new leverage and equity check relative to typical financial-sponsor deal sizes, and Copart's real-estate-heavy, operationally embedded asset base (yard permits, insurer integrations) is not a natural fit for the operational-carve-out or rapid-deleveraging playbook typical of large-cap LBOs. The company's negligible leverage does, however, mean it retains substantial theoretical balance-sheet capacity to fund a large acquisition, such as the reported CCC Intelligent Solutions discussions, with debt while remaining well within an investment-grade leverage profile; illustratively, funding a transaction of several billion dollars entirely with new debt would still leave pro forma net debt/EBITDA below 2.0x based on trailing EBITDA of approximately US\$ 2.0 billion (Calculated).

D. Investment Thesis

Bull Case

United States insurance-obtained volumes stabilize and reaccelerate as claims frequency normalizes, while total-loss frequency continues its structural climb on rising vehicle-repair complexity. Copart defends its fee schedule against RB Global/IAA, supported by its real-estate moat and switching costs with large national insurers, allowing operating margin to hold near 38% to 40%. International operations continue to scale toward a larger share of revenue. Should the CCC Intelligent Solutions discussions result in a disciplined, reasonably priced transaction, Copart gains a foothold in the adjacent claims-software workflow that could deepen insurer switching costs further. The combination of reaccelerating growth, a defended margin structure and continued aggressive, well-timed share repurchases supports a re-rating back toward the company's historical multiple range.

Bear Case

Competitive fee-rate pressure from RB Global/IAA proves structural rather than transient, compressing operating margin toward the mid-30s percent range over several years. United States insurance-claims volume remains soft as consumers continue to pull back on comprehensive coverage amid persistent premium inflation. The chief executive transition proves disruptive to insurer relationships or internal execution. Copart either loses the CCC Intelligent Solutions process after a public bidding contest (an opportunity-cost and distraction risk) or wins it at a price that proves value-destructive, diverting capital from the core real-estate reinvestment strategy. Under this combination, the current multiple, already compressed, could compress further rather than representing a floor.

Base Case

Revenue growth recovers from the current trailing 1% toward a mid-single-digit rate as volumes stabilize and pricing continues to benefit from rising total-loss frequency, without fully returning to the double-digit growth of fiscal 2021 through fiscal 2023. Operating margin compresses modestly, by roughly 100 to 150 basis points over five years, as fee-rate competition offsets some operating leverage. The balance sheet remains essentially debt-free, and capital return continues through opportunistic buybacks. The CCC Intelligent Solutions situation is resolved either through a disciplined transaction sized well within Copart's balance-sheet capacity or through Copart declining to pursue the asset at an uneconomic price.

Catalysts

Near-term catalysts include the fiscal fourth-quarter 2026 earnings release (scheduled for early September 2026), resolution of the CCC Intelligent Solutions acquisition process, the first full quarter under Jay Adair's renewed leadership and Jane Pocock's presidency, and any further sell-side commentary on the trajectory of fee rates following the fiscal second-quarter 2026 miss. Longer-term catalysts include continued international expansion, further total-loss-frequency increases tied to EV and ADAS penetration, and the pace of incremental share repurchases.

Things to Monitor

EXHIBIT D.1. MONITORING LIST

Metric or event	Why it matters	Positive signal	Negative signal
United States insurance-obtained unit volume, YoY	Core volume driver of the salvage franchise	Stabilization or growth	Continued year-over-year declines
Realized fee rate per vehicle (qualitative management commentary)	Directly tests the fee-competition thesis	Stable or rising commentary on fee realization	Explicit disclosure of fee concessions to retain volume
CCC Intelligent Solutions process outcome	Determines capital deployment and strategic direction	Disciplined price or a clean walk-away	A high, dilutive purchase price or a distracting extended process
Leadership-transition execution (Adair/Pocock)	Tests continuity of insurer relationships and culture	Stable guidance, no unusual executive departures	Further senior-management turnover or guidance resets
Share repurchase pace	Signals management's view of intrinsic value	Continued buybacks at depressed multiples	Pause in buybacks even as the stock remains below its historical multiple range
Total-loss frequency (industry data)	Structural demand driver for the addressable salvage pool	Continued gradual increase	Plateau or reversal

E. Final Investment Framework

BUSINESS QUALITY	High. A fee-based marketplace model with genuine two-sided network effects and a scarce, difficult-to-replicate real-estate asset base underpinning a durable North American duopoly.
FINANCIAL QUALITY	High. Net cash of approximately US\$ 4.1 billion, minimal debt, return on invested capital consistently near 30%, and free cash flow conversion that has improved to 86% of net income on a trailing basis.
COMPETITIVE POSITION	Strong but no longer unambiguous. Copart and RB Global's IAA together dominate North American salvage auctions, but sell-side analysts now cite evidence of fee-rate, not just volume, competition between the two.
MANAGEMENT	Mixed to constructive. Disciplined capital allocation and an opportunistic buyback into weakness are positives; the return of a previously retired CEO after a five-year successor tenure, alongside an unresolved large acquisition process, introduces genuine, if not yet realized, execution risk.
INDUSTRY	Mature and consolidated in its North American salvage core, with a structural volume tailwind from rising total-loss frequency and continued, comparatively early, international expansion.
VALUATION	Below the company's own five-year average multiples (21.0x trailing P/E versus a roughly 33x five-year average), but the Reasoned discounted cash flow range and the peer comparison both suggest the current price already embeds a Reasonable-to-Optimistic scenario rather than a deeply discounted one.
TECHNICAL AND MARKET STRUCTURE	High trailing volatility (approximately 45% annualized), a 46.5% peak-to-trough drawdown over the past year, and a sharp, news-driven rebound that leaves short-term momentum indicators in overbought territory.
PRINCIPAL RISK	Sustained, structural fee-rate erosion versus RB Global/IAA that compresses Copart's historical operating margin advantage.
PRINCIPAL CATALYST	Resolution of the CCC Intelligent Solutions acquisition process and evidence, in the fiscal fourth-quarter 2026 results, that United States insurance-obtained volumes and fee realization have stabilized.
KEY VARIABLE	The trajectory of Copart's realized fee rate per vehicle in the United States insurance channel, the single metric that most directly determines whether the historical margin structure, and the valuation premium it has supported, can be sustained.
THESIS INVALIDATION	The investment thesis would become materially weaker if Copart discloses explicit fee concessions or sustained fee-rate declines in United States insurance auctions over two or more consecutive quarters, if United States insurance-obtained unit volumes fail to stabilize within the following twelve months, or if Copart completes the CCC Intelligent Solutions acquisition at a price that raises pro forma leverage meaningfully above 2.0x net debt/EBITDA without a clear, quantified path to accretion.

F. Data Table

EXHIBIT F.1. COMPANY SNAPSHOT

Category	Metric	Current	Prior year (FY2025)	5-year trend
Market	Market capitalization	US\$ 31.3bn	US\$ 43.8bn	Down from FY2025 peak
Market	Enterprise value	US\$ 27.2bn	US\$ 39.6bn	Down from FY2025 peak
Market	Share price	US\$ 33.85	US\$ 45.33	Roughly flat over 5 years
Growth	Revenue growth (YoY)	1.1%	9.7%	Decelerating sharply
Profitability	Gross margin	47.5%	47.2%	Range-bound, 45%-50%
Profitability	Operating margin	37.8%	37.7%	Gradually compressing from 42%
Profitability	Net margin	33.5%	33.4%	Broadly stable
Profitability	ROE	17.6%	18.5%	Declining (denominator effect)
Profitability	ROIC	30.0%	32.7%	Stable, 30%-35% range
Cash flow	Operating cash flow	US\$ 1,685m	US\$ 1,800m	Growing since FY2021
Cash flow	Free cash flow	US\$ 1,339m	US\$ 1,231m	More than doubled since FY2021
Leverage	Net debt / EBITDA	(2.1x)	(2.4x)	Consistently net cash
Valuation	P/E	21.0x	28.2x	Compressed from ~37x peak
Valuation	EV/EBITDA	13.8x	20.2x	Compressed from ~27.5x peak
Valuation	P/FCF	23.4x	35.6x	Compressed from ~66x peak
Market	Beta	1.01	n/a	Broadly market-level
Market	Annualized volatility (trailing quarter)	~44.6%	n/a	Elevated versus typical large-cap
Market	Maximum drawdown (52-week)	(46.5%)	n/a	Largest drawdown in several years

Reported and Calculated by the analyst from data compiled by StockAnalysis.com (source: S&P Global Market Intelligence), as of the 19 to 20 August 2026 reporting window. Figures in parentheses denote a net cash position or a decline.

G. Sources and Methodology

Every source cited below was accessed on 19 or 20 August 2026 and was, at the time of access, openly viewable without a login wall or subscription gate, unless otherwise noted. Figures used in this report were cross-checked across the income statement, balance sheet, cash flow, ratios and company-profile pages of the primary financial-data source before being incorporated, and were found to be internally consistent (for example, enterprise value, EV/EBITDA and EV/Sales figures were independently recomputed from disclosed market capitalization, debt and cash balances and matched the source's own reported ratios).

Primary Sources

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Grand View Research: "Online Salvage Auctions Market Size Report, 2025-2030." <https://www.grandviewresearch.com/industry-analysis/online-salvage-auctions-market-report>. Used for industry market-sizing estimates.

Market Data

StockAnalysis.com (data licensed from S&P Global Market Intelligence): Financials overview, income statement, balance sheet, cash flow statement, ratios, statistics, company profile and price history pages for CPRT, RBA and OPLN. <https://stockanalysis.com/stocks/cprt/financials/>, <https://stockanalysis.com/stocks/cprt/financials/balance-sheet/>, <https://stockanalysis.com/stocks/cprt/financials/cash-flow-statement/>, <https://stockanalysis.com/stocks/cprt/financials/ratios/>, <https://stockanalysis.com/stocks/cprt/history/>, <https://stockanalysis.com/stocks/rba/>, <https://stockanalysis.com/stocks/opln/>. Accessed 19 to 20 August 2026; used for all reported and historical financial and market data unless otherwise cited.

Board of Governors of the Federal Reserve System / market data aggregators: 10-year US Treasury yield, 19 August 2026 (approximately 4.65%). Used as the risk-free rate input to the discounted cash flow model in Section C5.

Calculations

Analyst calculations: Return on invested capital, free cash flow margin, net debt/EBITDA, enterprise-value cross-checks, trailing and fiscal year-end price returns, trailing-quarter annualized volatility, approximate 50-day moving average and 13-period RSI, and the discounted cash flow model in Section C5, all derived from the Reported figures identified above and clearly labeled Calculated or Estimated throughout the report.

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